and it emphasizes the relaxed nature of some BARRs. If you owned the stock depicted in the figure and sold it when price pierced the sell line moving down, you would not have sold at the top. However, you would have avoided the 40% decline that followed. The decline also points out that it can be easy to make money on paper, but difficult to keep it.

Sample Trade

Jenny is a librarian. Before she goes home at the end of each day, she logs onto the Internet and checks her stock portfolio. She did not notice it at first, but by mid-September, Jenny spotted a BARR forming in a stock she owned (**Figure 15.6**). She spent an hour searching the Internet for anything she could find about the company. She checked the fundamentals, analysts' recommendations, insider buying and selling, and anything else she could think of.

She reviewed the reasons she bought the stock. Using the Peter Lynch style of investing—that of buying a stock one is familiar with—held a special appeal to her. She liked shopping at the grocery store chain, and the products they sold were something she could really sink her teeth into. She felt comfortable owning the stock.